Testahil — Riyadh Cables Group Company (Tadawul: 4142)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the Riyadh Cables valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure derivable from a driver is a live formula, so you can change a blue cell on Assumptions and watch the model reprice: the cost of capital is built from the risk-free rate net of the sovereign spread, beta and the premium; the discount factors compound from the cost-of-debt glide; the DCF waterfall, the terminal block, the statement roll-forwards, all four lenses and every ratio chain off the same cells.

THREE CLASSES OF CELL ARE PASTED VALUES, and it is worth knowing exactly which. First, audited and disclosed history — the primary record (FY2023-25 income statement and balance sheet, the FY2025 cost-stack base the ground-up build starts from), not a calculation. Second, there is NO flattened unit-build paste: the cable cost stack is built live on the Segments sheet from the disclosed FY2025 materials and conversion figures and the driver paths. Third, whole-model engine outputs, where each figure is a complete re-run of the valuation and so cannot be one formula: the Monte Carlo price map, the sensitivity grids, the DCF scenario bear/bull bounds, and the pasted alternate framings of the contested gross-margin judgement. Everything else — every lens base value and bound, the whole worked expert panel and its median, every ratio, and the anchor roll — is a live formula. Changing a driver reprices the model but does NOT redraw the engine outputs; every pasted grid's base row is asserted at build time to reproduce the live base case.

How revenue is built, and how to test it. A cable maker is a metal converter: materials (copper and aluminium) are 94.9% of cost of revenue. The Segments sheet builds a tonnage index times a metal price on its own path, plus conversion cost on domestic inflation, plus a CONVERSION SPREAD PER TONNE calibrated to the margin-anchor path at the BASE metal price and held fixed under metal shocks. The gross margin row is therefore an OUTPUT: set the metal price multiplier on Assumptions above 1.00 and watch revenue rise while the margin dilutes and the value falls — the H1-2026 mechanism (flat gross profit on +9.5% revenue). The margin anchor is the reviewed H1-2026 actual (15.26%), not the higher FY2025 print (16.24%), and the contested judgement is computed both ways plus at the Q2-2026 exit rate (14.99%).

Conventions. Year-end discounting, annual compounding (mid-year would raise the DCF lens ~4%). WACC weights use net financial debt, consistent with the net-debt bridge. Beta 1.129 is a Dimson sum-beta on 185 weekly observations (plain OLS 0.928; 90% CI 0.62-1.64 — the grid prices the width). The terminal is discounted all-equity because the model itself forecasts net cash from FY2028E.

What it is not. It is not investment advice, a recommendation, or a price target. Values are model outputs shown as ranges.

Sourcing. FY2022-FY2025 come from the company's own audited consolidated financial statements (KPMG); the FY2026 near-term anchor is the Tadawul-filed reviewed H1-2026 interim. Every input is listed with source and date in the companion bibliography document. No aggregator or broker figure is a build source.

Currency. SAR million unless stated. Spot SAR 104.90 (2026-08-18 close). Sheets: READ FIRST · Summary · Fundamental Valuation · Assumptions · SOTP Bridge · Segments · Relative & Normalized · DCF · Income Statement · Balance Sheet · Cash Flow · Summary Financials · Monte Carlo · Sensitivity · Per-Share & Ratios · Peer & Sector.

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Lens	Bear	Base	Bull	Weight	vs spot
Discounted cash flow (primary)	78.52	123.28	188.28	45.0%	17.5%
Relative multiples	73.80	91.07	108.33	20.0%	(13.2%)
Normalised earnings power	78.06	102.16	126.25	20.0%	(2.6%)
Book value and sustainable return	64.09	94.69	106.81	15.0%	(9.7%)
Weighted central		**108.32**			**3.3%**
Terminal value as % of DCF EV		80.5%			
Expert panel median		123.28			
Market price (anchor)		**104.90**			
Market capitalisation (SAR mn)		15,705			

Fundamental valuation — four lenses, one field

Every base value links live to its source sheet

Lens	Bear	Base	Bull	Weight	Contribution	vs spot
Discounted cash flow (primary)	78.52	123.28	188.28	45.0%	55.48	17.5%
Relative multiples	73.80	91.07	108.33	20.0%	18.21	(13.2%)
Normalised earnings power	78.06	102.16	126.25	20.0%	20.43	(2.6%)
Book value and sustainable return	64.09	94.69	106.81	15.0%	14.20	(9.7%)
Weighted central	**64.09**	**108.32**	**188.28**	**100.0%**		**3.3%**
Expert panel median (live — see the worked panel below)		123.28				
Market price (anchor)		104.90				
Central contested judgement — sustained gross margin, both ways						
H1-2026 anchor (15.26%) — DCF value		123.28				
FY2025-peak framing (16.0%) — DCF value (pasted re-run)		134.85				
Further-compression framing (14.5%) — DCF value (pasted re-run)		111.60				
Q2-2026 exit rate (14.99%) sustained — DCF value (pasted re-run)		119.11				
Expert panel — three methods, worked live on the same forecast base						
E1 mid-cycle EBITDA margin (FY2028E)		11.96%				
E1 mid-cycle revenue (FY2028E scale)		13,364				
E1 normalised EBIT (margin x revenue - D&A)		1,485				
E1 normalised net interest (FY2028 Kd on FY2025 debt less cash yield)		26				
E1 earnings per share after tax and minorities		8.78				
Expert 1 — value at anchor (13x; range 10x/16x)	91.33	**119.41**	147.48			
E2 mid-cycle FCFF (average FY2028-30E)		1,056				
E2 after-tax net interest (FY2029 Kd basis)		23				
E2 owner cash (FCFF less after-tax interest, net of minorities)		1,029				
Expert 2 — value at anchor (perpetuity at terminal Ke;	89.20	**130.91**	160.68			
E3 invested capital, 31-Dec-2025 (NWC + PP&E)		4,425				
E3 PV of economic profit, FY26E (NOPAT - WACC x opening capital)		613				
E3 PV of economic profit, FY27E (NOPAT - WACC x opening capital)		611				
E3 PV of economic profit, FY28E (NOPAT - WACC x opening capital)		609				
E3 PV of economic profit, FY29E (NOPAT - WACC x opening capital)		605				
E3 PV of economic profit, FY30E (NOPAT - WACC x opening capital)		590				
E3 PV of terminal economic profit (reconciles to the DCF terminal value)		10,578				
E3 enterprise value (capital + PV of excess returns; equals the DCF EV)		18,032				
Expert 3 — value at anchor (bridge as the DCF; range	90.46	**123.28**	141.57			

Assumptions — every blue cell is a driver

Change one and the model reprices

Anchors & market					
Spot price (SAR)	104.90				
Shares outstanding (mn)	149.7				
Net financial debt at FY2025 (SAR mn, disclosed)	385				
Cost of capital — explicit window					
Risk-free rate (10-year SAR sukuk)	5.52%				
Sovereign default spread (netted out)	0.48%				
Equity risk premium (rating basis)	4.94%				
Beta (own-stock vs TASI)	1.129				
Cost of debt, marginal pre-tax	5.90%				
Effective zakat and income tax rate	9.50%				
Cost of capital — terminal					
Terminal risk-free rate	5.04%				
Terminal equity risk premium	4.68%				
Terminal beta	1.000				
Terminal cost of debt	5.50%				
Terminal net-debt weight	0.00%				
Terminal growth	4.00%				
Forecast drivers — ground-up cost stack					
Cable volume index growth	10.00%	7.50%	6.50%	5.50%	5.00%
Metal content price growth	-1.00%	0.00%	1.00%	1.00%	1.00%
Conversion cost inflation	3.00%	3.00%	3.00%	3.00%	3.00%
Sustained gross margin (H1-2026 anchor)	15.26%				
Gross-margin glide (added to anchor)	0.000	0.001	0.001	0.002	0.002
Operating expenses / revenue	4.30%	4.30%	4.25%	4.20%	4.20%
Depreciation and amortisation / revenue	0.85%				
Capital expenditure / revenue	1.90%	1.80%	1.77%	1.77%	1.77%
Net working capital / revenue	28.00%				
Cost-of-debt path	5.90%	5.80%	5.70%	5.60%	5.50%
Forecast dividend payout ratio	55.00%				
Yield on surplus cash	4.00%				
Metal price multiplier (shock; 1.00 = base path)	1.00				
NCI share of profit (FY2025)	0.41%				
Lens inputs					
Justified EV/EBITDA	10.00x				
Justified price/earnings	13.00x				
Sustainable return on equity	28.00%				
Weight — discounted cash flow	45.0%				
Weight — relative	20.0%				
Weight — normalised	20.0%				
Weight — book	15.0%				
Anchor roll					
Days to the anchor	230				
FY2025 dividend per share paid in window	2.25				
FY2025 disclosed base (audited)					
FY2025 metal content / materials (SAR mn)	8,487				

FY2025 conversion cost (SAR mn)	453
FY2025 net working capital (SAR mn)	2,933
FY2025 PP&E (SAR mn)	1,492
FY2025 gross borrowings incl. leases (SAR mn)	621
FY2025 equity attributable (SAR mn)	3,246
FY2025 associates carrying value (SAR mn)	32
FY2025 non-operating assets (SAR mn)	20
FY2025 NCI carrying value (SAR mn)	63
FY2025 attributable profit (SAR mn)	1,080
FY2024 equity attributable (SAR mn)	2,624
H1-2026 attributable profit (SAR mn)	589
H1-2025 attributable profit (SAR mn)	535

Enterprise value to equity bridge

All rows link to the DCF sheet; terminal-value share shown to the reader

Enterprise value	18,032
of which terminal value	14,511
terminal value as % of EV	80.5%
Less: net financial debt	(385)
Add: associates + non-operating assets	52
Less: non-controlling interests	(63)
Equity attributable (31-Dec-2025)	**17,636**
Value per share at anchor (SAR)	**123.28**

Segments — ground-up cost-stack build

Materials on the metal path; conversion on domestic inflation; gross margin is the OUTPUT

SAR mn / index	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cable volume index (FY2025=100)	100.0	110.0	118.3	125.9	132.9	139.5
Metal content per unit (base path)	84.87	84.02	84.02	84.86	85.71	86.57
Metal content per unit (after shock multiplier)	84.87	84.02	84.02	84.86	85.71	86.57
Conversion cost per unit	4.53	4.67	4.81	4.95	5.10	5.26
Margin anchor path (calibrates the spread at base	16.24%	15.26%	15.36%	15.36%	15.41%	15.41%
Conversion spread per unit (calibrated at base me	17.33	15.97	16.12	16.30	16.54	16.73
Materials (metal leg, shocked)	8,487	9,242	9,935	10,687	11,388	12,077
Conversion cost	453	514	569	624	678	733
Cost of revenue	8,940	9,756	10,504	11,311	12,066	12,810
Gross profit = volume x spread	1,733	1,757	1,906	2,053	2,198	2,334
Revenue = materials + conversion + spread	10,674	11,513	12,410	13,364	14,264	15,143
Gross margin — OUTPUT (dilutes when metal rise	16.24%	15.26%	15.36%	15.36%	15.41%	15.41%
Operating expenses		495	534	568	599	636
Depreciation & amortisation		98	105	114	121	129
EBIT		1,262	1,373	1,485	1,599	1,698
EBITDA		1,360	1,478	1,598	1,720	1,826
EBITDA margin		11.81%	11.91%	11.96%	12.06%	12.06%

FY2025 disclosed segment revenue (Note 40)		
Cables and wires	10,414	97.6%
High-voltage cables (turnkey projects)	231	2.2%
Other (telephone cables & services)	29	0.3%

Relative, normalised-earnings & book lenses

Each base value is a live formula; bear/bull vary the multiple

Relative — EV/EBITDA on FY2027E		
FY2027E EBITDA	1,478	
Justified EV/EBITDA	10.00x	
PV of interim FY2026-27E FCFF	1,378	
Relative lens — implied value (base)	**91.07**	
Bear (8.0x) / Bull (12.0x)	73.80	108.33
Normalised earnings power		
Mid-cycle EBITDA margin (FY2028E)	11.96%	
FY2026E revenue	11,513	
FY2026E net interest	27	
Normalised EPS	7.54	
Normalised lens — implied value (base)	**102.16**	
Bear (10x) / Bull (16x)	78.06	126.25
Book value & sustainable return		
Book value per share	21.68	
Justified price / book	4.20x	
Book lens — implied value (base)	**94.69**	
Bear / Bull	64.09	106.81

Discounted cash flow

Cost of capital built from drivers; glide from the cost-of-debt path; terminal ROIC-consistent

Cost of capital

Normalised risk-free rate rf*	5.04%
Cost of equity Ke	10.62%
Cost of debt after tax	5.34%
Market capitalisation	15,705
Net-debt weight	2.39%
WACC — explicit window	**10.49%**
Terminal cost of equity	9.72%
Terminal cost of debt after tax	4.98%
WACC — terminal	**9.72%**

Discount-rate glide & waterfall

SAR mn	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Glide fraction (from Kd path)	0.0000	0.2500	0.5000	0.7500	1.0000
Forward WACC	10.49%	10.30%	10.11%	9.91%	9.72%
Discount factor	0.9051	0.8205	0.7452	0.6780	0.6180
EBIT	1,262	1,373	1,485	1,599	1,698
NOPAT = EBIT x (1 - tax)	1,142	1,242	1,344	1,447	1,536
+ Depreciation & amortisation	98	105	114	121	129
Revenue (memo)	11,513	12,410	13,364	14,264	15,143
- Capital expenditure	219	223	237	252	268
Net working capital	3,224	3,475	3,742	3,994	4,240
- Change in working capital	290	251	267	252	246
Free cash flow to firm	**731**	**873**	**954**	**1,064**	**1,151**
PV of FCFF	661	716	711	721	711

Invested capital & terminal

PP&E roll-forward	1,613	1,731	1,854	1,985	2,124
Invested capital = NWC + PP&E	4,836	5,206	5,595	5,979	6,364
ROIC = NOPAT / invested capital	23.61%	23.86%	24.01%	24.20%	24.14%

PV of explicit FCFF (5 years)	3,521
Terminal ROIC	25.11%
Terminal reinvestment rate = g / ROIC	15.93%
Terminal NOPAT (next year)	1,598
Terminal value	23,482
PV of terminal value	14,511
Enterprise value	**18,032**
Terminal value as % of EV	**80.5%**

Enterprise value to equity	
Less: net financial debt	(385)
Add: associates + non-operating assets	52
Less: non-controlling interests	(63)
Equity attributable (31-Dec-2025)	**17,636**
Value per share (31-Dec-2025)	117.80
Anchor accretion factor	1.0656
Value per share at anchor (18-Aug-2026)	**123.28**
vs spot	17.5%

DCF scenarios (whole-model re-runs — pasted)	
Bear	78.52
Base (= value per share at anchor)	123.28
Bull	188.28

Income statement — 3y audited + 5y forecast

SAR mn

SAR mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	7,825	9,007	10,674	11,513	12,410	13,364	14,264	15,143
Gross profit	973	1,287	1,733	1,757	1,906	2,053	2,198	2,334
Gross margin	12.43%	14.28%	16.24%	15.26%	15.36%	15.36%	15.41%	15.41%
Operating expenses	325	318	467	495	534	568	599	636
EBITDA	714	1,037	1,352	1,360	1,478	1,598	1,720	1,826
Depreciation & amortisation	66	69	85	98	105	114	121	129
Operating profit (EBIT)	648	968	1,267	1,262	1,373	1,485	1,599	1,698
Net finance cost	(89)	(88)	(74)	(27)	(23)	(15)	(6)	6
Profit before zakat	559	881	1,192	1,235	1,350	1,470	1,593	1,703
Zakat & income tax	(39)	(64)	(108)	(117)	(128)	(140)	(151)	(162)
Profit for the year	518	817	1,085	1,117	1,222	1,330	1,442	1,541
Attributable profit			1,080	1,113	1,217	1,325	1,436	1,535

Balance sheet — audited history + forecast roll-forward

SAR mn; FY2023-25 audited, FY2026E-30E rolled forward from the cash flow

SAR mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Property, plant & equipment	1,207	1,336	1,492	1,613	1,731	1,854	1,985	2,124
Inventory	1,909	2,126	2,411					
Trade & other receivables	1,419	2,112	2,713					
Cash & equivalents	150	91	236					
Total assets	4,831	5,812	7,282					
Gross borrowings incl. leases	731	440	621	621	621	621	621	621
Trade & other payables	1,487	2,041	2,190					
Net working capital	1,841	2,197	2,933	3,224	3,475	3,742	3,994	4,240
Net financial debt	581	350	385	291	108	(104)	(373)	(684)
Equity attributable	2,247	2,624	3,246	3,747	4,294	4,890	5,537	6,227

Forecast roll-forward (feeds the income statement & lenses)					
Net debt, start of year	385	291	108	(104)	(373)
Surplus cash	236	330	513	725	994
Net interest	27	23	15	6	(6)
EBIT (from DCF)	1,262	1,373	1,485	1,599	1,698
Profit before zakat	1,235	1,350	1,470	1,593	1,703
Attributable profit	1,113	1,217	1,325	1,436	1,535
Dividend	612	669	729	790	844
Net debt, end of year	291	108	(104)	(373)	(684)
Equity attributable	3,747	4,294	4,890	5,537	6,227

Cash flow — free cash flow to the firm

SAR mn; the DCF waterfall as a statement

SAR mn	FY26E	FY27E	FY28E	FY29E	FY30E
NOPAT	1,142	1,242	1,344	1,447	1,536
+ Depreciation & amortisation	98	105	114	121	129
- Capital expenditure	(219)	(223)	(237)	(252)	(268)
- Change in working capital	(290)	(251)	(267)	(252)	(246)
Free cash flow to firm	**731**	**873**	**954**	**1,064**	**1,151**
Discount factor	0.9051	0.8205	0.7452	0.6780	0.6180
PV of FCFF	661	716	711	721	711

Summary financials

SAR mn; forecast links to the model

SAR mn	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	11,513	12,410	13,364	14,264	15,143
EBITDA	1,360	1,478	1,598	1,720	1,826
NOPAT	1,142	1,242	1,344	1,447	1,536
FCFF	731	873	954	1,064	1,151
Invested capital	4,836	5,206	5,595	5,979	6,364
ROIC	23.61%	23.86%	24.01%	24.20%	24.14%

Monte Carlo — calibrated forward price cone

Engine output (50,000 paths, seed 42); pasted whole-model re-runs, not driver formulas

Percentile	1-month	3-month
P5	87.26	76.54
P25	97.67	92.86
P50	104.85	105.05
P75	112.69	118.71
P95	126.27	144.06
Spot	104.90	104.90
P(above spot)	49.8%	50.3%
Annualised vol	36.2%	36.7%

3-month calibration: PARITY vs the random walk; coverage 0.70/0.80/0.90; PIT mean 0.49.

Sensitivity — whole-model re-runs (pasted)

Each cell is a complete revaluation and does NOT redraw when a driver changes; every block's base row REPRODUCES the base case (asserted at build time)

DCF value per share: terminal WACC (rows) x terminal growth (cols)

	g=2%	g=3%	g=4%	g=5%	g=6%
WACC_t=7.72%	136.56	156.39	186.73	239.16	n/m
WACC_t=8.72%	116.80	129.84	148.29	176.50	225.26
WACC_t=9.72%	102.16	111.19	123.28	140.38	166.52
WACC_t=10.72%	90.88	97.37	105.71	116.88	132.66
WACC_t=11.72%	81.92	86.72	92.69	100.36	110.63

n/m: terminal spread (WACC_t - g) below 2% — the Gordon terminal value is not meaningful there and no number is shown (the first edition printed clamped values).

Risk-free rate (10y SAR; explicit AND terminal move together) — DCF value/share

5.02%	136.09
5.52%	123.28
6.02%	112.54

Beta (explicit-window Ke only; terminal beta held at 1.0 as stated) — DCF value/share

0.7	129.25
0.9	126.42
1.129	123.28
1.3	121.00
1.5	118.40

Metal price x (flat multiplier; spread held — margin is the output) — DCF value/share

0.85	135.72
0.925	129.50
1.0	123.28
1.075	117.06
1.15	110.84

Sustained gross margin (0.1499 = the Q2-2026 exit rate) — DCF value/share

0.14	104.03
0.145	111.60
0.1499	119.11
0.1526	123.28
0.155	127.01
0.16	134.85

Volume x — DCF value/share

0.9	112.72
0.95	118.00
1.0	123.28
1.05	128.55
1.1	133.81

Net working capital / revenue — DCF value/share

0.24	128.85
0.26	126.07
0.28	123.28
0.3	120.50
0.32	117.71

The metal row matches the LIVE Segments sheet: set the metal price multiplier on Assumptions and the whole model reprices the same direction (higher metal dilutes the margin and lowers the value).

Per-share & ratios

	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
EPS (SAR)	7.22	7.43	8.13	8.85	9.59	10.25
Book value per share (SAR)	21.68	25.03	28.68	32.66	36.98	41.59
ROE (%, on average equity)	36.8%					
Net debt / EBITDA (x)	0.28x	0.21x	0.07x	-0.06x	-0.22x	-0.37x
EV/EBITDA (FY2025 basis, x)	11.90x					
P/E (FY2025 basis, x)	14.54x					
P/E (trailing twelve months, x)	13.85x					

Peer & sector context

Cross-check multiples only — never a source for the subject historicals

Peer	Market	EV/EBITDA	Basis & note (each multiple recomputed from the peer's own EV and guidance)
Riyadh Cables (subject)	Tadawul	11.90x	FY2025 basis (TTM P/E 13.9x); see Per-Share & Ratios
Prysmian	Milan	14.00x	FY2026E on guidance RAISED 30-Jul-2026 (EUR 2.8-2.9bn) vs ~EUR 40bn EV
Nexans	Paris	8.70x	FY2026E on guidance raised 29-Jul-2026 (EUR 770-840mn) vs ~EUR 7.1bn EV
Polycab India	NSE	29.00x	NTM; high-growth EM premium
KEI Industries	NSE	31.00x	NTM (~24-25x only on FY-Mar-2028, two years out)
Ducab (private)	UAE		regional peer, not listed

Justified EV/EBITDA applied in the relative lens: 10.0x — a deliberate DISCOUNT to the corrected developed band (~8.5-14.5x) for single-country and single-customer concentration, not its mid-point.
Quotes as of 18-Aug-2026. Cross-check multiples only — never a source for any Riyadh Cables figure.